

Employee Attrition Analysis – Executive Summary

Objective

The purpose of this analysis was to identify patterns associated with employee attrition and determine which groups of employees are most likely to leave the organization. Understanding these patterns can help the Human Resources team take proactive steps to improve employee retention and reduce turnover-related costs.

Key Findings

The analysis revealed that employee attrition is not evenly distributed across the organization. The Sales department experiences the highest employee turnover, making it the area that requires the greatest attention from HR. Among all job roles, Sales Representatives showed the highest rate of employee exits, followed by Laboratory Technicians and Human Resources employees.

Compensation appears to influence employee retention, as employees who left the company generally had lower monthly incomes compared to those who remained. However, salary alone does not fully explain attrition. Work-life balance, job responsibilities, overtime requirements, and overall career progression also play important roles in an employee's decision to stay or leave.

Another important finding is that employees in their early years with the company are more likely to resign than long-serving employees. This suggests that the onboarding and early-career experience significantly impact employee retention.

Recommendations

Based on these findings, HR should prioritize retention efforts within the Sales department, particularly for Sales Representatives. Regular career development discussions, mentoring programs, and employee engagement initiatives should be introduced for employees during their first few years with the organization.

Additionally, reviewing workload distribution and overtime practices may help improve work-life balance and employee satisfaction. Conducting periodic stay interviews with employees in high-risk roles can also help identify concerns before they result in resignations.

Conclusion

Employee attrition is influenced by a combination of factors rather than a single issue. By focusing on high-risk departments, improving employee engagement, supporting career growth, and promoting a healthier work-life balance, the organization can reduce turnover and retain valuable talent more effectively.